

Research Briefing | Spain

Next government faces a steeper road ahead

Economist

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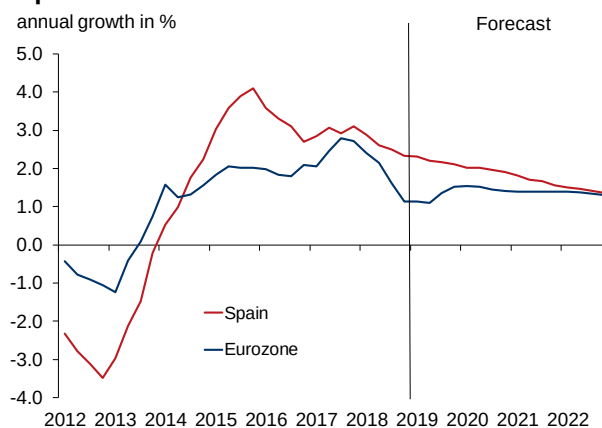
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- **Following an impressive recovery since 2015, growth is cooling down as the Spanish economy transitions towards a more mature phase of the cycle and some of the tailwinds from recent years start to fade away. While we expect Spain will continue to outperform the eurozone, this gap will gradually narrow. We will not see a return of the 3% growth rates seen in recent years.**
- The economy has routinely exceeded growth expectations in recent years, but we think that this time really is different as a confluence of domestic and external factors is finally bringing growth rates down closer in line with potential growth.
- Private consumption – the main engine of the current economic cycle – is starting to falter as employment growth gradually slows down. Wages will not rise enough over the coming years to compensate for the slower pace of job creation and households cannot dip further into their savings, which have fallen to historic lows.
- Spain's "export miracle", which saw exports surge by 75% between 2010 and 2018, seems to be over, and the country cannot rely on the external sector to drive growth as it once did given the much more adverse global climate.
- Spain will face this weaker outlook in the midst of an uncertain political climate. But despite higher political fragmentation, which will see Spain holding its third general election in four years this week, the country remains insulated from the political risk affecting other countries such as Italy, with no tensions seen in its financial markets.
- Debt sustainability is not a pressing issue, rather the excessive fiscal deficit remains Spain's main fiscal vulnerability. The government that comes out of the polls after 28 April will face structural challenges, such as a highly dysfunctional labour market and a pension system that is increasingly unsustainable over the long term, but we remain sceptical whether any substantial reforms will be implemented over the coming years.

Chart 1: The end of Spanish overperformance is coming

Spain and Eurozone GDP



Spain has been enjoying GDP growth rates well above the eurozone average since 2014, but this gap is now progressively closing down and will disappear entirely by 2022 according to our forecasts.

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An impressive recovery but slowly faltering

After being one of the countries hit hardest by the twin recessions of 2008-09 and 2011-13, the Spanish economy has experienced a V-shaped recovery (**Chart 2**), with GDP growth rates averaging over 3% since 2015. Aided by a combination of productive – and often painful – structural reforms and a confluence of favourable tailwinds, the economy has been routinely defying expectations in recent years and has outpaced the eurozone average by a comfortable margin, making Spain one of the most dynamic European economies during the current cycle. Economic growth has been in fact slowing down gradually since the peak reached in 2015, when growth rates reached 4%. We expect this trend to continue and see the gap between Spain and the eurozone closing progressively. There are cyclical reasons for this, namely the ending of some of those tailwinds, as well as structural ones, i.e. the Spanish economy transitioning towards a more mature phase of the cycle and growth converging towards its potential.

Among the cyclical factors, we would name the end of cheap oil prices as the most important one. Spain benefitted greatly from the moderation in oil prices in recent years (**Chart 3**), even more so than most of its European neighbours given its higher reliance on oil as an energy source (a topic we explore in detail [here](#)). We estimate that the 60% decline in the price of crude between 2014 and 2016 added between half and a full percentage point to economic growth. With oil prices now on a steady upward trend, Spain will not be able to rely on the additional boost provided by cheap energy as it did in previous years.

On the structural side, our main concern is that private consumption – one of the main growth engines during the current cycle – is now reaching its limits. Spanish household spending is highly correlated with employment growth (**Chart 4**) – much more so than in other European countries. Following four years of growth rates close to 3%, and with the unemployment rate now getting closer to the estimated natural rate, the pace of job creation will slow down over the coming years. Although an incipient rise in wages will help cushion the impact, it will not be enough to offset it entirely, leading to a progressive slowdown in private consumption. To make matters worse, Spain's household finances are broadly overstretched, with the savings ratio having fallen to new lows. There is a substantial risk that a deterioration in economic conditions could lead to a rise in precautionary saving, which would exacerbate the slowdown.

Chart 2: Spain has experienced a strong recovery from the 2008-2013 crises

Spain: Gross domestic product

Q1 2000=100

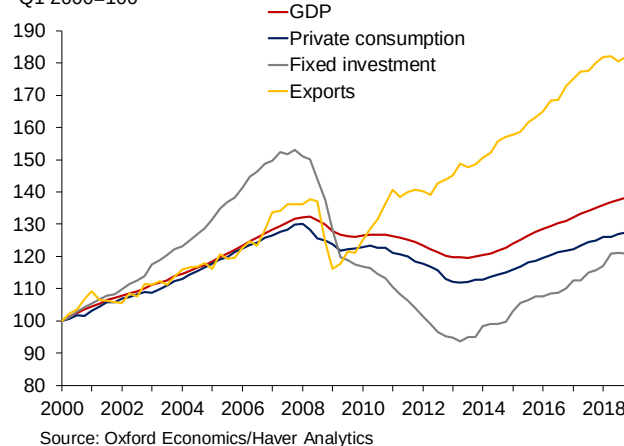


Chart 3: Spain greatly benefited from low oil prices in recent years

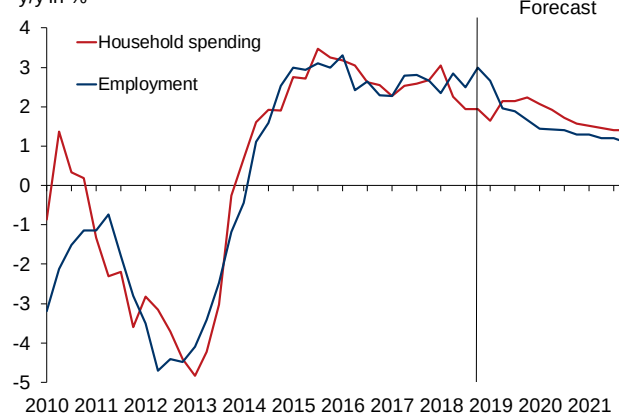
Brent oil price



Chart 4: Consumer spending extremely highly correlated with employment growth

Spain: Household spending and employment

y/y in %



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Exports have been the other pillar of growth, especially during the initial part of the recovery. Aided by large gains in competitiveness, Spain experienced its own “[export miracle](#)” with exports surging by 75% between 2010 and 2018. In addition, exports of services were also boosted by a very dynamic tourism sector (**Chart 5**). But the deterioration in global trade has hit Spain hard with export growth falling to its lowest in six years in 2018. With modest prospects for a recovery in global trade and the tourism sector having cooled significantly – hit by Brexit and a recovery in rival markets – we do not expect net trade to be a meaningful contributor to growth over the coming years.

The main challenges ahead: fiscal deficit, unemployment and pension system

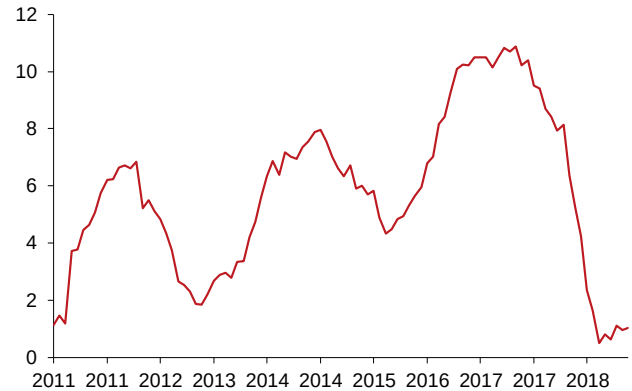
With public debt at 97% of GDP, Spain is one of the most indebted countries in the eurozone. However, a relatively favourable growth outlook and a successful refinancing strategy taking advantage of historically low interest rates mean that [debt sustainability is not as pressing a concern](#) as it is in Italy. Instead, a chronically persistent fiscal deficit continues to be Spain’s main fiscal vulnerability. Despite remarkable fiscal consolidation since 2013, Spain continues to have one of the highest deficits in the eurozone (**Chart 6**). Even more troubling is the fact that structural deficits have not improved in recent years, and Spain has relied almost entirely on strong cyclical economic growth to improve its fiscal position. As such, additional efforts will be needed in the coming years in order to meet EU targets.

Spain has cut its unemployment rate in half from the peak reached in 2014. But at 14.5%, it remains well above the eurozone average (**Chart 7**) and is still one of the highest in the developed world. The [Spanish labour market](#) remains a dysfunctional machine that no administration has been able to fix in the past 30 years despite several labour reforms, with unemployment rates routinely shooting above 20% every time the economy falls into recession. The extreme duality of the labour market – permanent workers who are relatively well paid and enjoy a high degree of job security versus temporary workers with lower salaries and dismissal costs – is one of the defining features of Spain’s economy. Temporary workers account for over 25% of total employees – double the rate in Germany, France and Italy. The high prevalence of temporary workers is sub-optimal for the aggregate economy as those workers are much less likely to receive training and education, limiting productivity growth.

Chart 5: Strong impulse from tourism sector now mostly over

Spain: Tourist arrivals

12m avg annual growth in %

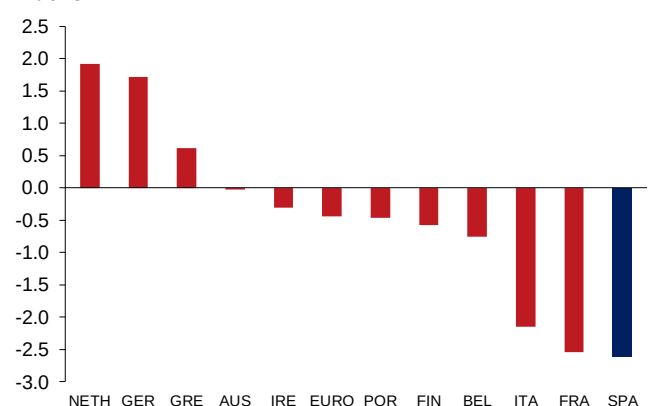


Source: Oxford Economics/Haver Analytics

Chart 6: Spain continuing to suffer from one of the highest fiscal deficits in the eurozone

Fiscal balance (2018)

% of GDP

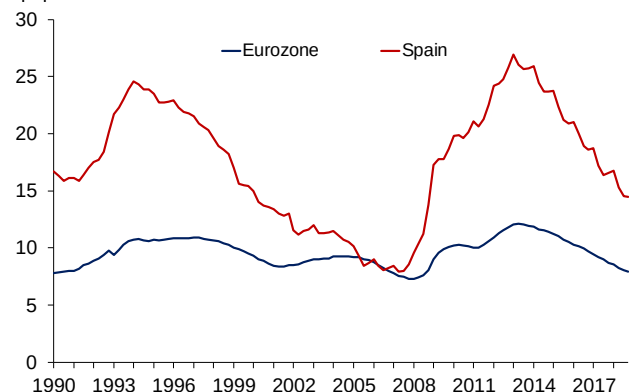


Source: Oxford Economics/Haver Analytics

Chart 7: Unemployment rates in Spain among the highest in advanced economies

Unemployment rate

% of active population



Source: Oxford Economics/Haver Analytics

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Long-term unemployment remains a big problem. A third of unemployed workers have been out of a job for more than two years. Spain is likely to lose a significant part of those long-term unemployed from the labour force when they eventually become resigned to not finding work again. And those who remain in the labour force but continue to be unemployed will contribute to a permanently higher unemployment rate.

The biggest challenge from a longer-term perspective is the sustainability of the [pension system](#), which faces a tremendous test given the adverse demographic outlook. Although this is not specifically a Spanish problem, the scale of the issue in Spain greatly exceeds that of its European neighbours. By 2040, the elderly dependency ratio – the proportion of those above the working age compared to those in it – will surge from the current 25% to nearly 60% – well above the European average of 50% (**Chart 8**). The recent undoing of some of the pension reforms of 2011 and 2013 has put additional pressure on the social security system, which is already suffering from a structural deficit.

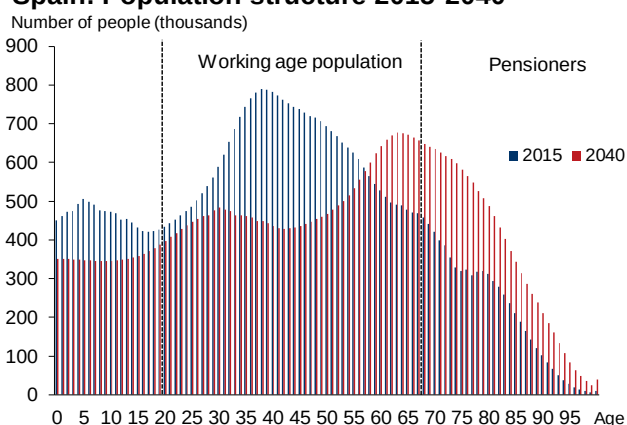
Negative prospects for meaningful reforms

Spain is facing this situation in the midst of an uncertain political climate, which will see the country holding its third [general election](#) in four years this Sunday. Political fragmentation is now a mainstay of Spanish politics, and it looks to get even worse in the upcoming election (**Chart 9**). Governability is going to remain challenging with the complicated alliances needed in order to pass legislation. The extreme ideological differences between left and right will make achieving ample consensus extremely difficult. As a result, we remain sceptical that Spain will carry through meaningful reforms over the coming years, but neither do we expect a deviation from the conventional macroeconomic policies of recent years.

Fortunately, Spain did most of the heavy lifting in terms of reforms at the start of the decade, so an additional reform impetus, while welcome, is not essential. Markets seem to share this view. Despite the increased political instability and gridlock of recent years, investors have continued to favour Spanish bonds ahead of countries that are perceived to be much riskier such as Italy (**Chart 10**). Extremely loose financial conditions have been the other main tailwind supporting growth during the current cycle. In that sense, the ECB's increasingly dovish stance and the expectation that financial conditions will remain favourable for longer than previously expected helps to explain why the outlook for Spain remains positive in the short term.

Chart 8: Spain faces one of the most adverse demographic outlooks in the world

Spain: Population structure 2015-2040

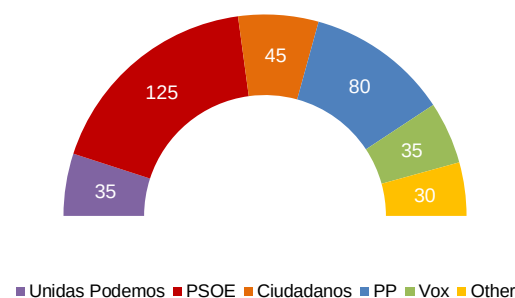


Source : Oxford Economics/Haver Analytics

Chart 9: Political fragmentation to worsen after upcoming general election

Projected Spanish parliament (176 seat majority)

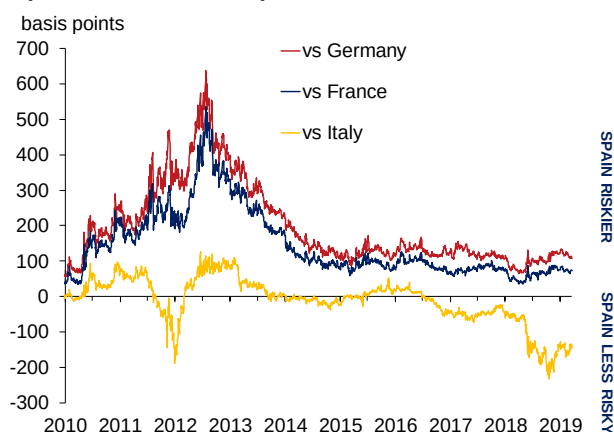
Parties ordered from political left to right



Source: Oxford Economics/Electocracia
* Based on average of polls

Chart 10: Financial markets continue to see Spain as a safe bet

Spread between 10Y Spanish bond and other Eurozone



Source: Oxford Economics/Haver Analytics